Reg. No									

St. Joseph's College of Arts & Science (Autonomous)

St. Joseph's College Road, Cuddalore – 607001

B.Com (BM) DEGREE EXAMINATION – APRIL 2021

BM306S - CORPORATE ACCOUNTING

Time : 3 hrs **Max Marks :75**

SECTION – A (10X2=20)

Answer ALL the Questions

1. What is meant by 'Equity Shares'?
2. What do you mean by 'Calls in advance'?
3. How to arrive out purchase consideration under net payment method?
4. Write a note on 'Vendors suspense account'
5. How much remuneration is payable to the managing director of the company?
6. How to treat the unclaimed dividend in the final accounts of the company?
7. What do you mean by statement of affairs under the liquidation of companies?
8. How will you calculate the liquidator's remuneration when sufficient amount is not available to make payment to unsecured creditors?
9. What is meant by Non-Performing Assets of a banking company ?
10. List out any four contingent liabilities in bank accounts

SECTION - B (5x5=25)

Answer any FIVE Questions

11. What are the different kinds of shares? Explain.
12. The directors of Z Co., Ltd., forfeit 10 shares of Rs.50 each belonging to 'Karthik' who had paid Rs.5 per share on application, Rs.10 on allotment and Rs.15 on first call but failed to pay the final call of Rs.20. The same shares are then reissued to 'Raj' as fully paid on receipt of Rs.400. Pass journal entries to record the reissue of shares.
13. Z Ltd., does not want to take over debtors and creditors of vendor. However, it agreed to collect from debtors and pay to creditors for a commission of 3% on amount collected and 1% on amount paid. The debtors realized Rs.1,70,000 only, out of Rs.50,000 was paid to creditors. Calculate the amount of commission earned and amount payable to vendor.
14. ABC Ltd., was incorporated on 1-7-94 which took over a running concern with effect from 1-194. The sales for the period upto 1-7-94 was Rs. 2,70,000 and the sales from 1-7-94 to 31-12-94 amounted to Rs. 3,30,000/-

The expenses debited to profit and loss account included:

	Rs.
a. Director's fees	15,000
b. Bad debts	1,800
c. Advertisement (Rs. 500 per month)	6,000
d. Salaries and General Expenses	32,000
e. Preliminary expenses written off	3,000
The gross profit was (1-1-94 to 31-12-94)	2,40,000

Ascertain the profit prior to incorporation.

15. From the following particulars of Barat Ltd., for the year ended 31.3.2002, calculate the net profit for managerial remuneration:

a. Net Profit as per P&L a/c is Rs.16,00,000

b. Remuneration and perquisites paid to :

i. Managing director Rs. 75,000

ii. Whole time director Rs. 60,000

c. Provision for doubtful debts made during the year Rs. 30,000

d. Provision for income tax Rs. 8,00,000

16. Ascertain the amount payable to Liquidator from the following data :

Secured Creditor : Rs.50,000 (Securities realised by secured creditors, Rs.60,000)

Assets realised : Rs. 80,000

Liquidator's remuneration : 3% on the amounts realized

17. From the following balances prepare the P&L A/c of Canara Bank, in the revised format.

	Rs.
Interest received	5,42,260
Discount received	2,43,760
Commission received	44,240
Interest on deposits	1,60,520
General expenses	1,82,420
Bad debts	1,28,710
Rebate on bills discounted	64,380

SECTION - C (3x10=30)

Answer any THREE Questions

18. Bright Ltd., invited application for 10,000 shares of Rs.100 each at a discount of 6% payable as follows:

On application Rs.30

On allotment Rs.24

On first & final call Rs. 40

Applications were received for 9,500 shares and all these were accepted. All moneys due were received except the final call on 250 shares which were forfeited. 150 of the forfeited shares were reissued at Rs.80 per shares as fully paid.

Assuming that, all requirements of the law have been complied with, pass journal entries in the books of the company and also prepare balance sheet.

19. Don Allot Ltd., was formed to take over the assets and liabilities of Shri Laxman and to acquire the adjacent premises. The balance sheet of Shri. Laxman on 31st Dec 2008 was as follows:

Liabilities	Rs.	Assets	Rs.
Trade Creditors	8,000	Cash in Hand	2,000
Capital	1,60,000	Cash at Bank	12,000
		Book Debts	18,000
		Stock	78,000
		Furniture	10,000
		Land & Buildings	48,000
	1,68,000		**1,68,000**

The purchase consideration was agreed at Rs.2,00,000 and was to be paid as under:

i. 5,600 equity shares of Rs.20 each fully paid

ii. Rs.68,000 in 6% preference shares of Rs.100 each issued at par

iii. Rs.20,000 in cash

All the assets and liabilities were valued as per above balance sheet except the books debts which were subject to a bad debts provision of 5%

The company raised further capital by issue of 15,000 equity shares of Rs.20 each. The adjoining premises were purchased for Rs.1,00,000 and additional stock of Rs.1,40,000 was obtained from open market

Record the above transactions in the books of Don Allot Ltd., through journal entries and draft its opening balance sheet.

20. The following balances were extracted from the books of Chandra Ltd., for the year ended December 31, 1996.

	Rs.
Buildings	6,00,000
Furniture	60,000
Motor vehicles	60,000
Equity shares of companies	4,00,000
Stock-in-trade at cost	4,00,000
Sundry debtors, unsecured considered goods	2,80,000
Cash at bank	1,72,000
Advance against construction of building	1,30,000
Share capital : 10,000 equity shares of Rs.100 each	10,00,000
Sundry creditors	3,50,000
Profit and loss a/c (credit)	20,000
Gross profit	10,00,000
Dividend received on investments	10,000
Salaries and wages	2,20,000
Director's fees	8,000
Electricity charges	25,000
Raztes, taxes and insurance	10,000
Auditors fees	15,000

Prepare the profit and loss account of the company for the year ended December 31, 1996 and a balance sheet as on that date after considering the following adjustments:

a. Provide 10% depreciation per annum on fixed assets.
b. Stock has been revalued Rs.3,60,000. This has not yet been considered
c. Debts more than 6 months are Rs.80,000
d. Ignore tax provision.

21. K Ltd., went into voluntary liquidation on 30-10-1991. Below given is Balance sheet on that date;

Liabilities	**Rs.**	**Assets**	**Rs.**
2,000 Eq shares of Rs.100 each	2,00,000	Land and Buildings	1,40,000
6% Debentures	1,00,000	Machinery	60,000
Mortgage loan (*secured on machinery)*	50,000	Stock	1,22,500
Sundry creditors	1,50,000	Debtors	1,10,000
		Cash	2,500
		P & L A/c	65,000
	5,00,000		**5,00,000**

Sundry creditors include Rs.6,000 payable as preferential creditors. Assets realized as follows:

Land and buildings Rs.60,000; machinery Rs.63,500; Stock Rs.90,000; Debtors 40% of book value.

Liquidation expenses amounted to Rs. 1,800. Liquidators remuneration : 3% on assets realized including cash and 2% on the amount paid to unsecured creditors including preferential creditors. Debenture holders were repaid on 31.12.1991 along with 2 months interest.

Prepare liquidator's final statement of account

22. On 31.12.2013, the following balances stood in the books of Asian Bank Ltd.

	(Rs. in '000)
Share Capital – issued 80,000 shares of Rs.100 each Rs.50 paid `	4,000
Reserve fund	6,200
Fixed Deposits	42,600
Savings Bank Deposits	19,000
Current Accounts	23,200
Money at call and short notice	1,800
Government Securities	9,000
Other investments	16,000
Profit and Loss A/C (Cr) balance (1.1.2013)	1,350
Dividend for 2012	400
Premises (after Depreciation upto 31.12.2013 Rs.45,000)	2,950
Cash in hand	380
Cash with RBI	10,000
Cash with other banks	6,000
Bills Discounted	51,000
Loans and overdrafts	4,136
Drafts payable	70
Unclaimed dividends	60
Rebate on bills discounted	50
Short loans (Cr)	4,750
Furniture (after depreciation upto 31.12.2013 Rs.1,36,000)	1,164
Net Profit for 2013	1,550

Prepare the balance sheet as per the Banking Regulation Act.

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